

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

GOFORTH & MARTI D/B/A GM BUSINESS INTERIORS,
Complainant

v.

HSIN SILK ROAD SHIPPING LTD., *Respondent*.

DOCKET NO. 22-16

Served: February 15, 2023

OPINION OF: Linda S. Harris CROVELLA, Administrative Law Judge.

Initial Decision on Default

I. INTRODUCTION AND BACKGROUND

On July 11, 2022, the Commission issued a Notice of Filing of Complaint and Assignment (“Notice”) advising that complainant Goforth & Marti D/B/A GM Business Interiors (“Goforth & Marti”), commenced this proceeding by filing a Verified Complaint with the Secretary pursuant to section 11 of the Shipping Act of 1984, 46 U.S.C. §41301, alleging that respondent HSIN Silk Road Shipping LTD. (“HSIN”) violated the Act. As discussed more fully below, HSIN has not answered the Complaint or responded to an order requiring it to do so by October 3, 2022. Order to Respond to Complaint at 1. Accordingly, HSIN is (1) found to be in default; (2) is found to have violated the Act; (3) is found to have caused actual injury to Goforth & Marti by its violations; and (4) is ordered to pay a reparation award to Goforth & Marti.

A. Goforth & Marti’s Complaint

Goforth & Marti filed its Complaint on July 11, 2022,¹ alleging that HSIN, a non-vessel-operating common carrier (“NVOCC”) subject to regulation by the Federal Maritime Commission (“Commission”), issued a bill of lading on about October 7, 2021, to carry four containers of adjustable desk frames and table parts from Ningbo, PRC, to Los Angeles, California. Complaint at 2. It is further alleged that Goforth & Marti d/b/a GM Business Interiors was the owner of the cargo, had prepaid the freight, and was listed on the bill of lading as the consignee and notify party. Complaint at 2. Complainant alleges that it received an “Arrival Notice/Freight Invoice” from Respondent notifying it that the Nomadic Milde, the vessel which transported the four containers, had an estimated time of arrival (ETA) of November 6, 2021. Complaint at 3. Complainant alleges that after it paid the accompanying invoice for “berthing fees,” “DTHC,” and a “delivery order fee,” it received a second “Arrival

¹ The Complaint is dated June 17, 2022, but pursuant to § 502.62(a)(7), “[a] complaint is deemed filed on the date it is received by the Commission,” which was July 11, 2022.

Notice/Freight Invoice” in 2022 notifying it that the ETA of the Nomadic Milde “was revised to March 10, 2022.” Complaint at 3. Accompanying the notice was another invoice for berthing fees, DTHC, and a storage fee, which when contacted, Respondent attributed to additional costs the vessel incurred related to the pandemic and long-term berthing at the Los Angeles terminal that it did not anticipate. Complaint at 3.

Goforth & Marti alleges that HSIN violated § 41102(c) of the Shipping Act by assessing additional fees in both November 2021 and March 2022 that are “unjust, unlawful, unfounded and excessive,” and it seeks reparations for those amounts it was compelled to pay Respondent “related to receiving, handling, storing or delivering property.” Complaint at 4.

I take official notice under 46 C.F.R. § 502.226 of Commission records showing that the Secretary served the Notice to HSIN by FedEx at the business address in the Complaint: RM2902 29/F Ho King Comm CTR 2-16, Fa Yuen St. Mongkok Kin Hong Kong, 31500 Hong Kong. The tracking number shows that the envelope was delivered on July 18, 2022, to the receptionist/front desk and was signed for by R. Chop. Attachment A. In addition, the Office of the Secretary reported that it emailed the Notice to Respondent on July 11, 2022. HSIN has not answered or otherwise responded to the Complaint.

B. Order to Respond to Complaint

On July 13, 2022, an Initial Order was issued, explaining the parties’ obligations to participate in a preliminary conference and confer on a joint status report and proposed schedule and noted the 150-day timeline for completion of discovery. The order reiterated the Commission’s requirement that the initial decision in this case must issue within one year from filing of the Complaint. Initial Order at 1.

On September 16, 2022, an Order to Respond to the Complaint was issued and sent to Respondent by FedEx at the same business address to which the Notice was sent in July 2022, but it was returned as “undeliverable.” Attachment B. On September 21, 2022, the Order to Respond was sent by email to Respondent at info@hsinship.com and copied to Complainant.

The Order to Respond noted that a response to the Complaint was due 25-days after the Commission issued the Notice. See § 502.62(b). The Order to Respond again notified the parties that if Respondent failed to respond to the Complaint, a default judgment may be issued against it for the full amount that the Complainant is seeking, which is \$74,000, and Respondent HSIN was ordered to respond to the Complaint by October 3, 2022.

On November 10, 2022, an email was sent to both parties requesting an update on the case; Complainant responded that it had not heard from Respondent and Respondent did not reply to the email. To date, no response to the Complaint has been filed and no request for an extension of time has been received.

Respondent HSIN was a Commission-bonded non-vessel operating cargo carrier (“NVOCC”) at the time the transportation at issue occurred, but its NVOCC bond was cancelled on June 5, 2022, and revoked on June 6, 2022. It is unclear if HSIN has ceased operations. Official notice is taken of the Commission’s records showing that HSIN’s registered address was

the address to which the Complaint was successfully served, and to which the Order to Respond was sent.

For the reasons discussed below, I find that Complainant is entitled to a default decision and reparations from Respondent in the amount of \$74,000.

II. DISCUSSION

A. Respondent is in Default

Pursuant to Commission Rule 62:

Failure of a party to file an answer to a complaint, counterclaim, crossclaim, or third-party complaint within the time provided will be deemed to constitute a waiver of that party's right to appear and contest the allegations of the complaint, counterclaim, crossclaim, or third-party complaint to which it has not filed an answer and to authorize the presiding officer to enter an initial decision on default as provided for in 46 C.F.R. 502.65. Well pleaded factual allegations in the complaint not answered or addressed will be deemed to be admitted.

46 C.F.R. § 502.62(b)(6)(i). "All parties and representatives are under a continuing obligation to provide the Commission and all other parties in a proceeding with accurate and current contact information including a street address, telephone number, and e-mail address." 46 C.F.R. § 502.2(h)(1). Moreover, when "a party is found to be in default, the Commission or the presiding officer may issue a decision on default upon consideration of the record, including the complaint." 46 C.F.R. § 502.65(b).

Respondent was served and had notice of this proceeding. If Respondent's address changed, it failed to notify the Commission as required by Commission Rules. Because Respondent accepted service of the Complaint at its Commission-registered place of business but then failed to file a response or participate further in the proceeding with no explanation or request for extensions, a default decision against Respondent is appropriate.

B. Complainant Establishes that Respondent Violated Section 41102(c)

Complainant must establish that Respondent's conduct gives rise to a section 41102(c) violation. Commission Rule 203 provides that, "[i]n all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order." 46 C.F.R. § 502.203. The Supreme Court in *Director, OCWP v. Greenwich Collieries*, 512 U.S. 267, 276 (1994), found that the "burden of proof" under the Administrative Procedure Act (APA) means "the burden of persuasion." Here, the Complainant bears the burden of persuasion to prove its case by a preponderance of the evidence. See *Steadman v. SEC*, 450 U.S. 91, 102 (1981). Finally, while an administrative law judge cannot rely on mere speculation, inferences may be drawn from certain facts and circumstantial evidence may be considered. *Waterman S.S. Corp v General Foundries, Inc.*, 26 S. R.R. 1173, 1180 (ALJ 1993).

The Commission's regulations provide that well-pleaded factual allegations in a complaint will be deemed to be admitted when a respondent fails to answer a complaint within the time provided. *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, Docket No. 13-01, 33 S.R.R. 196, 198 (FMC Feb. 6, 2014); *Century Metal Recycling Pvt. Ltd. v. Dacon Logistics, LLC*, Docket 12-09, 33 S.R.R. 17, 19 (FMC Nov. 12, 2013). When a respondent defaults, the finder of fact accepts as true all well-pleaded facts in the order. 10A Wright & Miller § 2688, pp. 58-61; *Hugh Symington v. Euro Car Transport, Inc.*, Docket No. 92-47, 26 S.R.R. 871, 872 (ALJ Mar. 18, 1993) (adm. final).

Complainant alleges that “practices and regulations” by Respondent with regard to its imposition of berthing fees, storage fees and other fees in its arrival notices and freight invoices related to the receiving, handling, storing or delivering of property and are “unjust, unlawful, unreasonable and unfounded.” Complaint at 4. Complainant further alleges that as a result of Respondent's alleged conduct Complainant suffered financial injury. Complaint at 4. Complainant alleges violations of the Shipping Act and a pattern of conduct sufficient to demonstrate a violation of the Shipping Act. Respondent has not denied the allegations. Respondent chose not to participate in this proceeding, and its failure to participate has deprived Claimant of the opportunity to obtain additional evidence to support its allegations, as Respondent would be most likely to have information pertinent to the allegations against it. Such failure to respond has been found by the Commission to support a default decision. *See, e.g., Century Metal Recycling*, 33 S.R.R. at 19; *Shipco Transport Inc. v. Jem Logistics, Inc., and Andi Georgescu*, Docket No. 12-06, 32 S.R.R. 1855, 1857 (FMC Aug. 21, 2013); *Oceanic Bridge International, Inc. - Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, Docket No. 14-02, 2014 FMC LEXIS 24, *1 (ALJ Oct. 21, 2014) (adm. final). The conduct alleged in the complaint states a claim for violation of the Shipping Act and Respondent has defaulted. Accordingly, Complainant has established that Respondent violated the Shipping Act.

C. Reparations

Complainant seeks \$74,000 in damages. Complaint at 4. Pursuant to section 11(g) of the Shipping Act “the Federal Maritime Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part, plus reasonable attorney fees.” 46 U.S.C. § 41305(b). Commission case law states that: “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *Waterman v. Stockholms Rederiaktiebolag Svea*, Docket No. 638, 3 F.M.B. 248, 249 (FMB Dec. 8, 1950); *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, Docket No. 94-32, 30 S.R.R. 8, 13 (FMC Aug. 26, 2003).

The evidence demonstrates that as a consequence of the violations by Respondent, Complainant sustained damages of \$74,000. Goforth & Marti is also entitled to interest running from March 23, 2022, when it paid the second invoice to obtain the release of its cargo, to be calculated by the Commission when this judgement and decision become final. *See* 46 C.F.R. § 502.253. In addition, Complainant may be eligible for attorney fees, upon petition, pursuant to Commission Rule 254. 46 C.F.R. § 502.254.

III. ORDER

For the reasons stated above, it is hereby

ORDERED that default be entered against Respondent HSIN Silk Road Shipping Limited. It is

FURTHER ORDERED that Goforth & Marti be awarded \$74,000, plus interest from March 23, 2022, from Respondent HSIN Silk Road Shipping Limited as reparations for violating the Shipping Act.



Linda S. Harris Crovella
Administrative Law Judge



September 14, 2022

Dear Customer,

The following is the proof-of-delivery for tracking number: 777342697839

Delivery Information:

Status:	Delivered	Delivered To:	Receptionist/Front Desk
Signed for by:	R.CHOP	Delivery Location:	
Service type:	International Priority		
Special Handling:	Deliver Weekday		HONG KONG,
		Delivery date:	Jul 18, 2022 16:34

Shipping Information:

Tracking number:	777342697839	Ship Date:	Jul 11, 2022
		Weight:	1.0 LB/0.45 KG
Recipient:		Shipper:	
HONG KONG, HK,		WASHINGTON, DC, US,	

Signature images are not available for display for shipments to this country.

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 FEDERAL MARITIME COMMISSION
 800 NORTH CAPITOL ST NW
 WASHINGTON DC 20573 US
 SIGN: CARL SAVOY

SHIP DATE: 08 JUL 22
 ACTWGT: 1.00 LB
 CAD: 105523173/IN/ET4490
 BILL SENDER
 NO EEI 30.37(a)

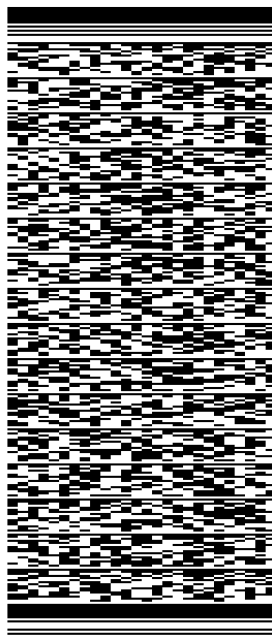
TO PRESIDENT

HSIN SILK ROAD SHIPPER LIMITED
 RM2902 29/F HO KING COMM CTR 2-16
 FA YUEN ST. MONGKOK KIN HONG KONG
 HONG KONG 31500

(HK)

581J210A92/FE4A

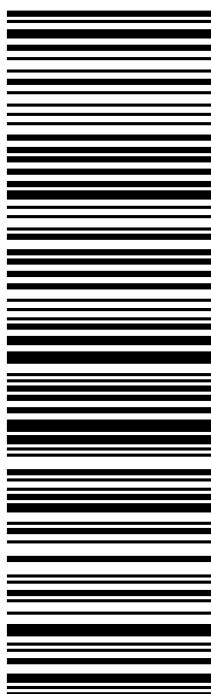
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CAD: 105523173/INET4490

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TO President

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Fa Yuen St. Mongkok Kin Hong Kong
Hong Kong, 31500
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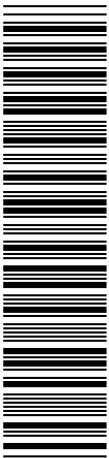
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